

Raising funds

Almost every business, from big corporations down to small one-person companies, needs to raise money at some point, in addition to the income it receives from selling its goods or services. To get a business off the ground, for example, involves some start-up costs such as buying tools and machinery, renting or buying a building or vehicles for transporting goods, and hiring workers. Later, a business might want to expand, launch a new product, or update its computer system. All of these things cost money, which often has to be paid out before there is any income from sales.

There are a number of ways in which a business can raise the money it needs to operate. It can decide to borrow money, which it then pays back to the lender over a period of time. This arrangement means that the business has the money when it needs it, and pays it back when it makes money from sales. Alternatively, a larger business can become a public company and sell shares to investors. The advantage of this is that it is not a loan that the company will have to pay back. Instead, the shareholders' money buys them a part-ownership of the company, giving them a say in how the business is run, and a percentage of any future profits.

**IT'S NOT THE EMPLOYER WHO PAYS
THE WAGES. EMPLOYERS ONLY
HANDLE THE MONEY. IT'S THE
CUSTOMER WHO PAYS THE WAGES.**

HENRY FORD, AMERICAN INDUSTRIALIST

Who will pay?